



PRESENTS

CORE TRAINING [THEORY]

Retraining Your Beliefs as a Trader

with Frank Ochoa, AKA *PivotBoss*
Author, *Secrets of a Pivot Boss*



THEORY: RETRAINING YOUR BELIEFS AS A TRADER

Retraining Your Beliefs as a Trader is designed to bring awareness to your current belief structure, and how it could be helping, or hindering, your performance as a trader. We'll delve into practical approaches to retraining your beliefs so that you maximize your capability as a trader.

“Those traders who have confidence in their own trades, who trust themselves to do what needs to be done without hesitation, are the ones who become successful.”

— Mark Douglas, Trading in the Zone

“They no longer fear the erratic behavior of the market. They learn to focus on the information that helps them spot opportunities to make a profit, rather than focusing on the information that reinforces their fears.”

IMPROVE
MINDSET
DISCIPLINE
FOCUS
CONFIDENCE

REMOVE
FEAR
FOMO
NEGATIVITY
BAD HABITS



**PIVOTBOSS
MASTERS**

FACING YOUR FEARS

"If you are unable to trade without the slightest bit of emotional discomfort (specifically, fear), then you have not learned how to accept the risks inherent in trading. This is a big problem, because to whatever degree you haven't accepted the risk, is the same degree to which you will avoid the risk. Trying to avoid something that is unavoidable will have disastrous effects on your ability to trade successfully."

— Mark Douglas, Trading in the Zone

TOP TRADER FEARS

1. FEAR of losing money
2. FEAR of being wrong
3. FEAR of missing out
4. FEAR of leaving money on the table

"Ninety-five percent of the trading errors you are likely to make—causing the money to just evaporate before your eyes—will stem from your attitudes about being wrong, losing money, missing out, and leaving money on the table. What I call the four primary trading fears."



PIVOTBOSS
MASTERS

REMOVING FEAR

“When you learn the trading skill of risk acceptance, the market will not be able to generate information that you define or interpret as painful. If the information the market generates doesn’t have the potential to cause you emotional pain, there’s nothing to avoid. It is just information, telling you what the possibilities are. This is called an objective perspective—one that is not skewed or distorted by what you are afraid is going to happen or not happen.”

— Mark Douglas, Trading in the Zone

DEVELOP AN OBJECTIVE PERSPECTIVE—ONE THAT IS BASED PURELY ON PROBABILITIES

“To eliminate the emotional risk of trading, you have to neutralize your expectations about what the market will or will not do at any given moment or in any given situation”

FEAR SOLUTIONS

- Risk is unavoidable; without risk, there is no reward
- Rather than attributing fear to executing a trade (fear of losing money or being wrong), redefine what risk means for the trade
- Redefine risk according to the probability of profitability
- Take trades that offer “good risk” characteristics, which helps to associate a positive mindset to the trade and the eventual outcome (regardless of profit or loss)



CREATING A PROBABILISTIC MINDSET

“To think in probabilities, you have to create a mental framework or mindset that is consistent with the underlying principles of a probabilistic environment.”

— Mark Douglas, Trading in the Zone

FIVE FUNDAMENTAL TRUTHS

1. Anything can happen
2. You don't need to know what is going to happen next to make money
3. There is a random distribution between wins and losses for any given set of variables that define an edge
4. An edge is nothing more than an indication of a higher probability of one thing happening over another
5. Every moment in the market is unique

CREATING THE RIGHT MINDSET

1. Adopting the “Five Truths” aligns your expectations with the realities of the market
2. Eliminate defining an interpreting market information as painful or threatening
3. Create a carefree state of mind that completely accepts the risks and uncertainties of the market
4. By adopting these beliefs, your mind will defend them just as it does other beliefs
5. Define your beliefs in accordance with the probability of outcomes



CREATING A BELIEF IN CONSISTENCY

“The first step in the process of creating consistency is to start noticing what you’re thinking, saying, and doing. Why? Because everything we think, say, or do as a trader contributes to and, therefore, reinforces some belief in our mental system.”

— Mark Douglas, Trading in the Zone

I AM A CONSISTENT WINNER BECUASE:

1. I objectively identify my edges.
2. I predefine the risk of every trade.
3. I completely accept the risk or I am willing to let go of the trade.
4. I act on my edges without reservation or hesitation
5. I pay myself as the market makes money available to me.
6. I continually monitor my susceptibility for making errors.
7. I understand the absolute necessity of these principles of consistent success and, therefore, I never violate them.



PRESENTS

CORE TRAINING [THEORY]

Retraining Your Beliefs as a Trader

with Frank Ochoa, AKA *PivotBoss*
Author, *Secrets of a Pivot Boss*